Category
Fixed-Income Cash Flows and Types

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LEGAL, REGULATORY, AND TAX CONSIDERATIONS

Learning Outcome

- describe how legal, regulatory, and tax considerations affect the issuance and trading of fixed-income securities

Fixed-income securities are subject to different legal and regulatory requirements depending on where they are issued and traded, as well as who holds them. Based on the jurisdictions of the issuer and the issuance, a bond can be classified as a domestic, foreign, or Eurobond. This classification has legal, tax, and regulatory implications for issuers and investors.

Legal and Regulatory Considerations

Bonds issued by entities incorporated in the same country are called **domestic bonds**, whereas bonds issued by entities incorporated in another country are called **foreign bonds**. Domestic bond markets vary widely across emerging and developed markets, and private and public issuers borrow outside the domestic market for various reasons. Corporate issuers often match the currency of their bond financing cash flows with that of their foreign operations using foreign bonds. Emerging market sovereign governments typically issue bonds in major foreign currencies to attract a broader set of investors and to diversify their investor base beyond the domestic bond market. In order to establish itself as a center for Islamic finance and attract shari'a-compliant investors, the UK government issued a sukuk, as described below.

UK Sovereign Sukuk Issuance

Sukuk are fixed-income instruments developed in accordance with Islamic law or *shari'a*, which prohibits the payment of interest and financing of non-shari'a-compliant sectors, such as alcohol or gambling. Instead of periodic interest, sukuk pay investors a periodic rental cash flow (or profit rate) from underlying assets, against which the investment company issuing the securities has an ownership claim for the life of the security.

Sukuk issuers were historically concentrated in predominately Muslim countries, including supranational entities, such as the Islamic Development Bank; sovereign issuers, including the Republic of Turkey; and corporate issuers, such as Saudi Aramco. In 2014, the United Kingdom became the first sovereign sukuk issuer outside the Muslim world with a GBP200 million, five-year sukuk issuance listed on the London Stock Exchange. These British pound–denominated sukuk were issued at a profit rate equivalent to the yield-to-maturity on a UK government benchmark security with a similar maturity, and the sukuk were backed by assets directly owned by the UK central government.

In smaller emerging markets with less financial intermediation (frontier markets), domestic bond issuance in frontier markets usually comprises domestic sovereign bonds and bonds of local financial intermediaries, such as banks. Corporate debt financing usually takes the form of a bank loan in these markets, and investors are limited to indirect fixed-income exposure to corporate issuers via bank bond purchases. Frontier market sovereign governments access local bond markets and use international bond markets to fund external debt in foreign currencies. For example, Romania's domestic bond market, denominated in the Romanian leu (RON), is limited in scope, while the Romanian government often issues debt in international bond markets. More established domestic

domestic currency with varying degrees of liquidity, the sovereign government and a select few domestic issuers may issue bonds in a major foreign currency, such as US dollars or euros. Developed market bond markets in major currencies, in contrast, reflect a high degree of both financial intermediation and specialization, attracting issuers from other jurisdictions and investors seeking returns in liquid markets denominated in freely floating currencies. Multinational corporate issuers may access several domestic bond markets to meet their funding needs. Recall the earlier example of BRWA Corporation's five-year US dollar fixed-rate bonds. Since BRWA is a US-based corporation issuing bonds denominated in US dollars in the United States, these bonds are considered domestic. If BRWA or a foreign subsidiary were to issue euro-denominated bonds in Germany or yuan-denominated bonds in China, these bonds would be considered foreign.

The Eurobond market was created in the 1960s primarily to bypass the legal, regulatory, and tax constraints imposed on bond issuers and investors, particularly in the United States. Bonds issued and traded in this cross-border market are called **Eurobonds**, and they are usually named for the currency in which they are denominated, such as Eurodollar and Euroyen bonds, or euro-denominated Eurobonds for the euro.

Eurobonds are issued outside the jurisdiction of any single country, are usually unsecured, and may be denominated in any currency, including the issuer's domestic currency. They are usually underwritten by a group of financial intermediaries from different jurisdictions and mostly sold to investors in Europe, the Middle East, and Asia. Eurobonds denominated in US dollars cannot be sold to US investors at the time of issue because they are not registered with the US Securities and Exchange Commission (SEC), with an exception for large qualified institutional investors. In the past, Eurobonds typically were **bearer bonds**, meaning that the trustee did not keep records of who owned the bonds; only the clearing system knew who the bond owners were. Eurobonds, domestic bonds, and foreign bonds are now **registered bonds** for which ownership is recorded by either name or serial number.

A global bond is a bond issued simultaneously in the Eurobond market and in at least one domestic bond market, ensuring sufficient demand and access to all fixed-income investors regardless of location. For example, the World Bank is a regular issuer of global bonds. Many market participants refer to foreign bonds, Eurobonds, and global bonds as *international bonds*, as opposed to domestic bonds.

For example, Exhibit 11 shows the terms of Romania's first ever 30-year euro-denominated bond issued in 2019.

Exhibit 11: 2019 Romanian EUR1.95 Billion, 30-Year Issuance

4.625% Romania Ministry of Finance Bonds Brief Summary of Terms	
Issuer:	Romania (Ministry of Finance)
Settlement Date:	April 3, 2019
Maturity Date:	April 3, 2049
Principal Amount:	EUR1.95 billion
Interest:	4.625% fixed annual coupon
Issuance Price:	99.488
Issuance Spread:	411.4 bps versus 1.25% Federal Republic of Germany bond maturing 8/15/48
Issuance and Trading:	Eurobond US Private Placement under Rule 144A DTC/Euroclear/Clearstream
Seniority:	Senior Unsecured
Exchanges:	Luxembourg

German sovereign benchmark.

Cross-border issuance of public debt is not limited to sovereign governments. Many federal agencies, as well as state and local governments, seek fixed-income investors in foreign currencies and/or jurisdictions. For example, PT Indonesia Infrastructure Finance (IIF) is a quasi-government entity established by the Republic of Indonesia along with the World Bank and other multilateral institutions to provide infrastructure financing and advisory in Indonesia. IIF issued US dollar–denominated Eurobonds as outlined in Exhibit 12.

Exhibit 12: IIF US Dollar–Denominated Bonds

1.50% PT Indonesia Infrastructure Finance (IIF) Brief Summary of Terms	
Issuer:	PT Indonesia Infrastructure Finance
Settlement Date:	[T + Five Business Days]
Maturity Date:	Five Years from Settlement Date
Principal Amount:	USD150 million
Interest:	1.50% fixed semiannual
Issuance Price:	98.808
Issuance Spread:	+129 bps versus current 5-year US Treasury Note
Issuance and Trading:	Eurobond (Medium Term Note)
Use of Proceeds:	Notes are sustainable in accordance with IIF's sustainable finance framework (ICMA compliant)
Seniority:	Senior Unsecured
Exchanges:	Singapore

Domestic bonds, foreign bonds, Eurobonds, and global bonds are subject to different legal, regulatory, and tax requirements in different jurisdictions. They also have different interest payment frequencies and calculation methods affecting bond cash flows and prices. Note, however, that the currency in which a bond is denominated has a stronger effect on its price than where the bond is issued or traded. This is because market interest rates have a strong influence on a bond's price, and the market interest rates that affect a bond are those associated with the currency in which the bond is denominated. For example, while IIF was able to issue five-year US dollar debt with a 1.50% coupon, its domestic Indonesian rupiah–denominated bonds of a similar tenor had a 6.97% yield-to-maturity.

Tax Considerations

The tax treatment of fixed-income securities is an important consideration for both issuers and investors. For corporate issuers weighing the relative cost of debt and equity capital, the tax deductibility of interest expense is an important factor in financing decisions, as discussed in an earlier module on corporate issuers. For investors, bond interest income is usually taxed at the ordinary income tax rate, which is typically the same tax rate that an individual would pay on wage or salary income.

Tax treatment for investors who purchase specific types of government bonds may also vary by jurisdiction. For example, UK citizens pay income tax on accrued and paid interest income but are exempt from capital gains tax arising when a bond is sold above its original purchase price. In the United States, investors in US Treasuries pay federal income tax on interest income but are exempt from state and local tax, while investors in US state and local government bonds (known as municipal bonds) are often exempt from federal income tax and from the income tax of the state in which the bonds are issued, thereby encouraging investors to purchase state and local bonds where they reside. The tax status of bond income may also depend on where the bond is issued and traded. For example,

In addition to earnings from interest, a bond investment will generate a capital gain or loss if sold prior to maturity at a price different from the purchase price. Capital gains or losses usually face different tax treatment from taxable income, which often varies for long-term and short-term capital gains. For example, capital gains recognized over a year after the original bond purchase may be taxed at a lower long-term capital gains tax rate, whereas capital gains recognized within a year of bond purchase may be taxed as a short-term capital gain that equals the ordinary income tax rate. Exceptions exist, and not all countries have a separate capital gains tax or a distinction by holding period.

For bonds such as zero-coupon bonds issued at a discount, the tax status of the original issue discount (OID) is an additional tax consideration that varies by country. The OID is the difference between the par value and the original issue price. For example, the United States includes a prorated portion of the discount in interest income every tax year, while Japan does not. The following example illustrates the difference in tax treatment using a zero-coupon bond.

EXAMPLE 3

Zero-Coupon Bond Tax Treatment

Assume both a US-based investor and an investor based in a tax jurisdiction without an original discount tax provision purchase an identical zero-coupon US Treasury security based on the following terms:

- Principal amount: USD25,000,000
- Time to maturity: 5 years
- Issuance price: USD92.83 (per USD100 par value)

The original issue discount may be calculated as follows:

Original issue discount = Bond par value − Issuance price.

USD1,792,500 = USD25,000,000 − (0.9283 × USD25,000,000).

The USD1,792,500 original issue discount represents the interest that will accrue to both investors over five years. Under the original issue discount tax provision in the United States, the US-based investor will recognize a prorated portion of the USD1,792,500 OID as taxable income each year and pay no capital gains tax upon maturity. The non-US investor without an OID tax provision will recognize no taxable income until maturity, upon which it will face capital gains tax on the OID (provided there is capital gains tax in their jurisdiction).

Similarly, some jurisdictions also have tax provisions for bonds purchased at a premium. They may allow investors to deduct a prorated portion of the amount paid in excess of the bond's par value from their taxable income every tax year until maturity. This deduction may be a choice rather than a requirement, with an investor able to decide whether to deduct a prorated portion of the premium each year or to deduct nothing and declare a capital loss when the bond is redeemed at maturity.

Question Set

1. Identify the following statement as true or false: A bond's coupon payment is most likely to be taxed as ordinary income.

   Hide Solution

typically the same tax rate that an individual would pay on wage or salary income.

2. Match the bond type in the left column to its correct description in the right column.

A. Foreign bond	I. Bonds issued outside the jurisdiction of any single country
B. Eurobond	II. Bonds issued by entities that are incorporated in that country
C. Domestic bond	III. Bonds sold in a country and denominated in that country's currency by an entity from another country

Hide Solution

Solution:

A. III is correct. Bonds sold in a country and denominated in that country's currency by an entity from another country are known as foreign bonds.

B. I is correct. Bonds issued outside the jurisdiction of any single country are known as Eurobonds.

C. II is correct. Bonds issued by entities that are incorporated in that country are known as domestic bonds.

3. Fill in the blanks. An unregulated bond issued in domestic currency outside the issuer's national borders is known as a _____. A bond issued simultaneously in the Eurobond market and in at least one domestic bond market is known as a _____ bond.

Hide Solution

Solution:

An unregulated bond issued in domestic currency outside the issuer's national borders is known as a *Eurobond*. A bond issued simultaneously in the Eurobond market and in at least one domestic bond market is known as a *global* bond.

4. Match the tax provision in the left column with the correct tax treatment in the right column.

A. Original issue discount (OID) tax provision	I. Pay tax on interest income each year
B. No original issue discount tax provision	II. Do not pay tax on interest income each year
	III. Pay capital gains tax at maturity
	IV. Do not pay capital gains tax at maturity

Hide Solution

Solution:

A. I and IV are correct. Investors who face an original issue discount tax provision and purchase bonds issued at a discount must recognize a prorated portion of the OID in taxable income each year and pay no capital gains tax upon maturity.

B. II and III are correct. Investors in bonds issued at a discount who do not face an OID tax provision will recognize no interest income until maturity, when they face capital gains tax on the OID.

5. A bond issued by a South African company denominated in British pounds sold exclusively to investors who are legally domiciled in the United Kingdom would most likely be classified as:

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Solution:

A is correct. Bonds sold in a country (United Kingdom) and denominated in that country's currency (British pounds) by an entity from another country (South Africa) are referred to as foreign bonds.

6. A domestic corporate issuer seeking to finance operations in a foreign market would *most likely* issue:

A. foreign bonds.
B. domestic bonds.
C. Treasury bonds.

Hide Solution

Solution:

A is correct. Corporate issuers often match the currency of their bond financing cash flows with that of their foreign operations using foreign bonds.

B is incorrect. The use of domestic bonds would not match the currency of the issuer's foreign operations. A second possibility would be to issue a domestic bond and then use a swap to obtain the desired foreign currency exposure. However, this method is beyond the scope of this lesson and will be introduced later.

C is incorrect. Treasury bonds are issued by sovereign issuers.

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OPTIONAL UNTESTED SEGMENT

UNLOCKING REAL-WORLD APPLICATIONS WITH BLOOMBERG

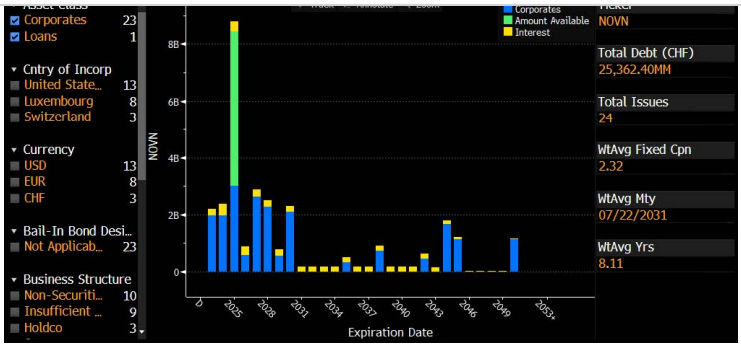
Bloomberg is one of the main market data platforms used globally by finance professionals throughout their workflows. In this optional section, we will explore a real-world application of the CFA Curriculum on Bloomberg.

{DDIS} DEBT DISTRIBUTION

The Bloomberg DDIS function allows you to view all the future principal and interest repayments for the selected bond.

> "DDIS <GO> displays the maturity distribution of debt for a selected issuer, sector, fixed income index, or custom universe of securities, so you can assess the ability of an issuer or group of issuers to meet obligations to debt holders. You can analyze outstanding debt by type, payment rank, currency, and more, as well as compare the maturity distribution between two different entities." - Bloomberg

To explore this function, type DDIS into the Bloomberg command line and press Enter or <GO>. Type a security—such as Novartis AG (or NOVN SW Equity)—into the top left amber field, and press Enter or <GO>. Click the Edit pencil beside the Chart Options in the top left. In the new window that appears, change the Payments field to "Principal and Interest."



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